Article | 27 July 2026 UNITED KINGDOM

# Bank of England some way off a rate hike despite energy price spike

The Bank of England is poised to keep rates on hold on 30 July despite a rise in energy prices. Expect new forecasts to show inflation peaking around 3% later this year. We think oil and natural gas prices would need to spike a fair bit further for the Bank to hike rates in September

Bank of England Governor Andrew Bailey

## Higher energy prices won't fully show up in the new forecasts

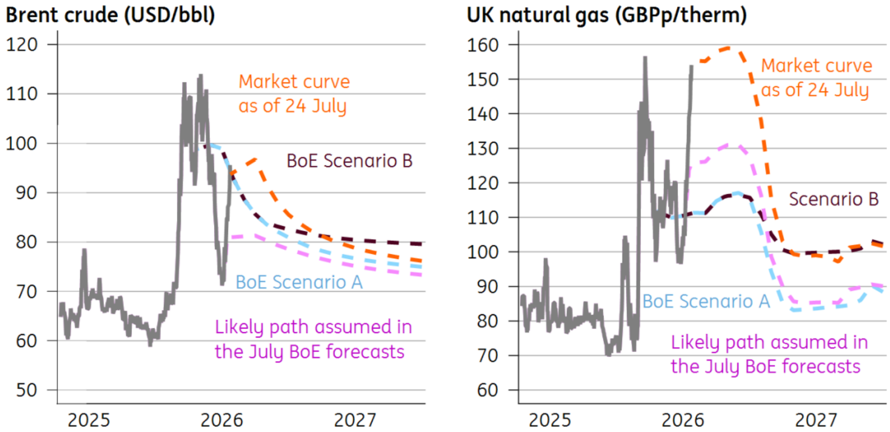
The rise in energy prices poses a fresh dilemma for the Bank of England, but we still don't think the bar for a rate hike has been met. We're expecting another 7-2 vote to keep rates on hold this Thursday.

The Bank's updated forecasts are likely to show inflation fairly close to 3% in the second half of this year and into early next. And crucially, that's well below the 4% threshold that the Bank has previously argued is statistically more likely to trigger second-round effects and a longer-lasting bout of price pressure.

That doesn't necessarily mean much; those new forecasts almost certainly won't fully account for the latest rise in energy costs. The Bank typically uses average oil and gas prices over a three‑week observation window, likely beginning in early July. Compared with the Bank's middle 'scenario B' from April, gas prices were only modestly higher in 2026 and lower thereafter, while oil prices were lower across the curve over that time.

Suffice to say those inflation forecasts would be higher if they were based on energy prices today. They would probably show inflation peaking somewhere between 3.5-4%.

## How energy prices compare to the BoE's April scenarios




Source: Bank of England, Macrobond, ING

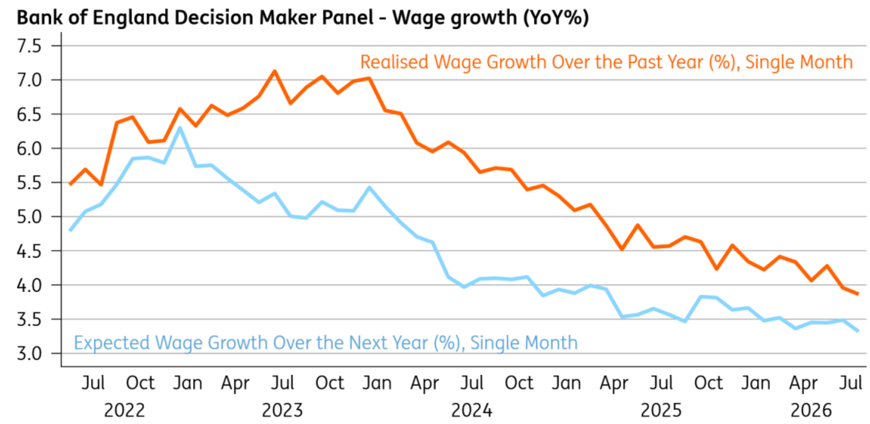
## The data supports a 'hold'

Does that mean we'll see a hawkish shift this Thursday? It would surprise nobody if Catherine Mann, a long-time hawk, joined Huw Pill and Megan Greene in voting for a hike this week. It's also not totally out of the question that Claire Lombardelli, who previously railed against rate cuts before the Iran War, joined her – though this would be a much bigger surprise.

But even then, there still appears to be a fairly clear dividing line between the hawks and doves. Just as we saw in the debate about rate cuts earlier this year, there are five officials, including Governor Andrew Bailey, who appear much less convinced that the economy is as susceptible to the sort of inflation wave we saw four years ago. And crucially, the recent data appears to back them up.

The jobs market remains fragile, best characterised by 'low hire, low fire'. Private-sector wage growth is below 3%, even if the Bank would argue this has been depressed a bit by so-called 'compositional effects' in the data.

## Wage growth expectations have fallen since the Iran war




Source: Macrobond, ING

## We expect a prolonged hold

Then there's inflation, which is looking pretty well-behaved. Food inflation is remarkably benign, as it is across much of Europe. And though it will take time, this is an obvious place for higher energy prices to show up if second-round effects take hold. Core services inflation has also been easing. There's also scant evidence in the surveys that firms are embarking on either bigger price rises or more substantial wage increases.

On that basis, we think energy prices would need to go a fair bit higher to convince more than the four hawks to vote for a hike. Oil prices back to US$120/bbl (from $90 today) – and Dutch TTF natural gas prices up around € 80/MWh (from € 58) – would take inflation above 4% and would likely trigger some modest tightening.

Though it's not difficult to see how that could happen if the Strait of Hormuz stays blocked throughout August, our base case is that the Bank stays on hold through 2026. We currently project two rate cuts from the spring of 2027, though this is contingent on there being no material fiscal stimulus at the Autumn Budget.

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Article | 24 July 2026 UNITED STATES

# FOMC preview: Fed to stay on hold after June's hawkish shift

While the recent surge in oil prices has led markets to increase their expectations of a Federal Reserve rate hike, June's inflation data came in well below forecasts, and labour market figures were softer than anticipated. As a result, we expect the Fed to leave policy unchanged at its 28-29 July meeting

Lower-than-expected June inflation prints and softer jobs numbers than hoped point towards the Federal Reserve leaving policy unchanged next week

## Cooler inflation to keep the hawks at bay

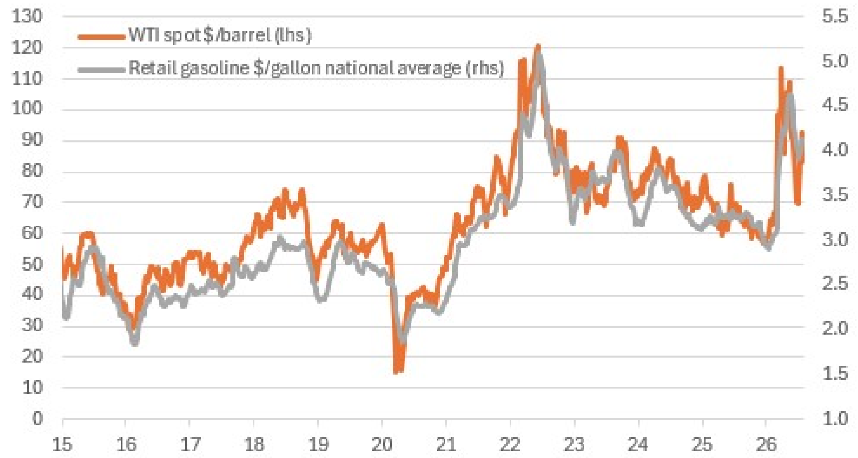
The June Federal Open Market Committee (FOMC) meeting dispelled any fears about a potential politicisation of the Federal Reserve via the appointment of Kevin Warsh as its new Chair. The FOMC statement, and Warsh's own commentary, emphasised a commitment to delivering price stability. The summary of economic projections, meanwhile, showed the FOMC split right down the middle on whether to raise interest rates this year.

Markets swiftly moved from pricing an 80% probability of a 25bp hike later this year to fully discounting one-and-a-half 25bp hikes. The softer-than-anticipated June CPI, the benign PPI readings, and the Fed's own Beige Book – marked by a notably muted tone on pricing – collectively suggest that the urgency for action might not have been as strong as initially assumed. Moreover, the June jobs report showed non-farm payrolls rising just 57,000 after the previous three months saw an average increase of 164,000. As such, we expect the Fed to leave monetary policy unchanged on Wednesday. While nine FOMC participants projected a rate hike by December, we suspect that most of them will be non‑voters this year, given the tone and content of officials' remarks.

## Policy direction down to oil

There is justifiable concern that the re-escalation of the Middle East conflict and the rebound in oil prices will keep inflation higher for longer. The spike in oil prices was responsible for a 20bp jump in expectations of cumulative Fed rate hikes by the first quarter of 2027 over the past seven days. Our counterpoint, though, is that gasoline prices didn't fall in line with oil price declines, as the chart below shows. Admittedly, we saw the oil price fall below $70/bbl for only a brief period. But ordinarily, this would be consistent with gasoline prices dropping $3.50/gallon. Prices got nowhere near that.

## WTI oil price versus US retail gasoline prices




Source: Macrobond, ING

Instead, the current oil price is historically consistent with gasoline prices of just above $4/gallon, which is where we currently stand. With natural gas prices remaining little changed in the US given ample domestic supply, the energy situation doesn't guarantee that we'll see inflation push higher again.

A de-escalation of the conflict and a resumption of flows would likely mean oil prices drop sharply and rate hike expectations start to unwind. After all, the mid-term US elections are less than four months away. US President Donald Trump could quickly pivot to a position that eases some of the financial pain for the electorate. The alternative is that we see a deterioration in conditions should Houthi rebels choke off Red Sea supply to Asia from Saudi Arabia. A further tightening of global supply conditions would mean oil prices could rise towards $120/bbl. That would lead to sharply higher headline inflation. The Fed would likely respond with higher interest rates.

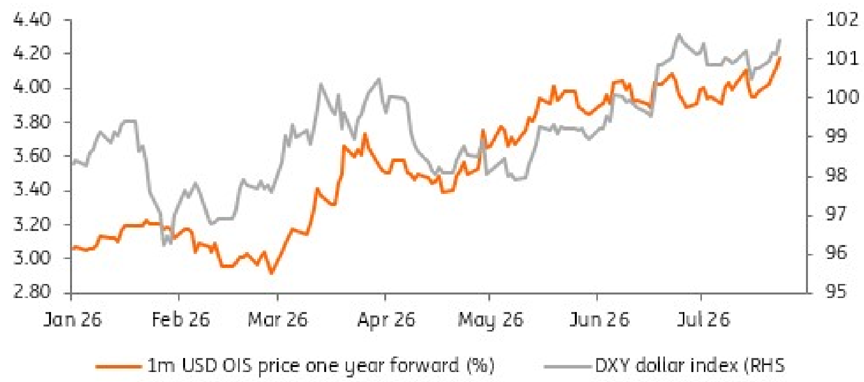
For now, we're leaning in the direction of a de-escalation, but it needs to come quickly. We believe underlying price pressures are easing thanks to cooling housing costs, weaker wage growth and tariff refunds improving corporate cash flow. But we'll need to see a return to dialogue in the Middle East and a de-escalation that prompts a reversal in energy prices in order to shift market pricing.

## Precautionary dollar buying

Since Warsh's debut press conference last month, the dollar is generally stronger across the board. In the G10 space, the low-yielding yen, Swiss franc and Swedish krona have all fallen around 2%, while in EM, some popular CEE trades are off 3-4%. The recent surge in oil prices has clearly been playing a role, but probably more through the prism of what higher energy prices mean for Fed policy.

Given the absence of forward guidance and lingering uncertainty around the Fed's reaction function, investors appear inclined to stay long dollars heading into this week's meeting. No one knows whether the Fed will be looking at 30-year Treasury yields hitting 5.20% again and concluding that a pre-emptive hike might be useful after all.

## US short-dated rates drive the dollar higher




Source: Refinitiv, ING

We suspect that a brief FOMC statement and a press conference that once again avoids offering forward guidance will do little to challenge the market's increasingly firm expectations for a 25bp hike in September. The Fed simply will not have enough information at this stage to push back against such thinking.

Until the US and Iran can agree a renewed ceasefire and energy prices come lower, we expect the dollar to stay strong. EUR/USD can retest the lows 1.13s, while USD/JPY can grind towards

165. Higher global interest rates will keep the Swiss franc under pressure. If the long end of the bond market starts to sell off more aggressively, carry trade positions in high-yield emerging currencies will come under pressure.

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### Disclaimer

Article | 23 July 2026

# Lagarde’s comments at the press conference clearly point to September rate hike

Our take-away from the press conference: the European Central Bank has again turned more hawkish, suggesting that a September rate hike is almost a done deal

At today's press conference, ECB President Lagarde went as far as possible without pre-committing to a rate hike in September

ECB president Christine Lagarde’s comments at the press conference were a good illustration of how close a central bank can get to pre-committing without actually pre-committing. It’s obvious that the recent roller-coaster ride of energy prices has made the ECB both more hawkish but also cautious. Where there seemed to be very little need for an additional rate hike three weeks ago, with oil prices below $70/bbl, current oil prices of close to $100/bbl will make it hard for the ECB not to hike in September.

## Most important comments at press conference

There were two important comments by Christine Lagarde this afternoon, signalling future policy moves. The first was the reference that upside and downside risks to the inflation and growth outlook were no longer "more balanced". Instead, Lagarde stressed the upside risks to inflation and the downside risks to growth. A clear hawkish shift. The second was the remark that some ECB members had favoured a rate hike already at today's meeting, even though the decision to keep rates on hold was taken unanimously. On the other hand, and a bit more dovish, Lagarde remarked that there were no second-round effects from higher headline inflation, yet.

The well-known comments about how many data points will be released until the next meeting no longer brings us sleepless nights. In fact, there will always be new data points. This is simply part of conducting monetary policy. What this remark probably means is that there was not a sufficient majority today in favour of hiking rates, but unless there are really no additional inflationary signs over the next two months, a September rate hike is almost a done deal.

More for the feuilleton section, Lagarde was also asked about her professional future. A discussion she herself had fuelled again recently by suggesting that she might enter the French presidential election race, passively or actively. Lagarde's response that she didn't want to be boxed into anything, however, did not fully meet expectations. In any case, we remain convinced that even if Lagarde was to leave the ECB before her term in office officially expires in October 2027, the impact on the ECB's monetary policy should be very limited. In fact, Lagarde is not perceived by markets as the ECB's thought leader, determining policy decisions on her own, but rather the moderator, steering the discussion and policy decisions.

## The question is what could stop the ECB from hiking in September, not what it needs to hike

Looking ahead, the latest increase in energy prices has actually pushed the ECB closer to its more severe macro scenarios, calling for another rate hike – at least when following the ECB's own logic and reaction function, presented at the June meeting. Unless oil prices start dropping significantly over the next weeks, the ECB's own macro projections in September will call for another rate hike, loud and clear. Consequently, we are back in a situation in which the question is what could stop the ECB from hiking in September, rather than what would move the ECB to hike.

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## Disclaimer

Article | 23 July 2026 FX

# Sterling's rally is not built to last

Sterling's rally has been driven more by positioning, carry and potentially some M&A flows than by a lasting improvement in UK fundamentals. With UK short-dated rates likely to drift lower and fiscal risks set to return ahead of the autumn, we expect sterling to hand back recent gains. Our central view remains for EUR/GBP to rise towards 0.88 by year-end

We expect sterling's strength to reverse as we see positioning, carry and M&A flows driving the rally rather than fundamentals

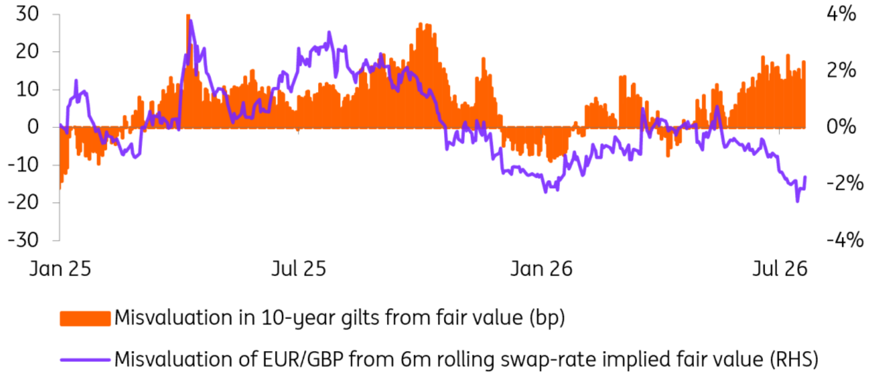
## Not driven by a UK re-rating

Sterling has had a pretty good summer so far. Even though it is off recent highs, sterling has still managed to rally about 2% against the euro over the last month and has generally performed well against a strong dollar.

Normally, a sustained rally in sterling would be driven by some good news – be it on growth, relative rate differentials, fiscal improvements or just capital inflows. It's hard to pick out anything concrete here, but justifying sterling's rally on a perceived fiscal improvement – for example, Andy Burnham's choice of chancellor – looks wide of the mark.

Below we show a relationship between the UK risk premium embedded in the gilt market versus that embedded in the FX market. Through 2025, both 10yr gilt yields and EUR/GBP traded above levels normally associated with common financial variables. While that risk premium has remained in gilts for most of 2026, it has evaporated in sterling. As a result, this sterling rally is not a classic re-rating story.

## Risk premium remains in gilts, not sterling



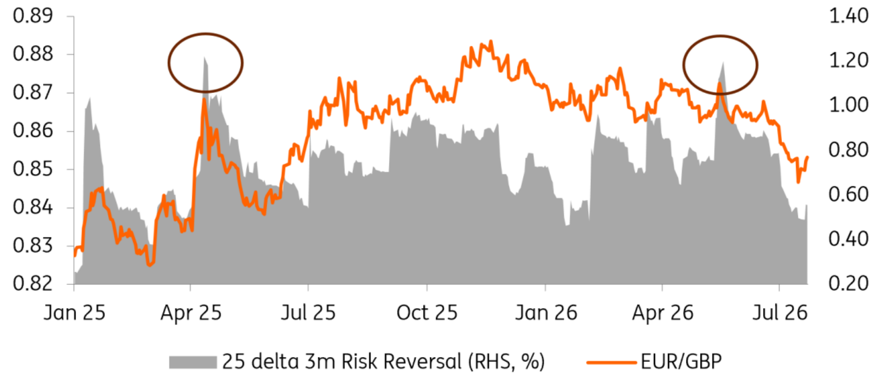

Source: ING, Refinitiv

## Positioning explains more than fundamentals

A better explanation of the sterling rally – one which appeals to us much more – is the combination of a short squeeze and some one-off flows. On the former, it looked like speculators had turned exceptionally bearish on sterling ahead of UK local elections in early May on the (correct) assumption that poor results would spell the end of Prime Minister Keir Starmer's premiership. That bearish sterling sentiment can best be seen in the FX options market, where the risk reversal – the cost of buying a EUR/GBP call over an equivalent put option – rose to the most expensive levels seen since April 2025. That was when global financial markets were in turmoil after President Donald Trump's 'Liberation Day' tariffs.

Sterling failed to sell off in the immediate aftermath of those election results, and we suspect a combination of sterling's relative high risk-adjusted yields in quiet summer markets and potentially some large one-off sterling buying flows caught the market exceptionally short. In terms of those flows, there has been speculation that M&A activity could be in play.

## EUR/GBP versus three month risk reversal



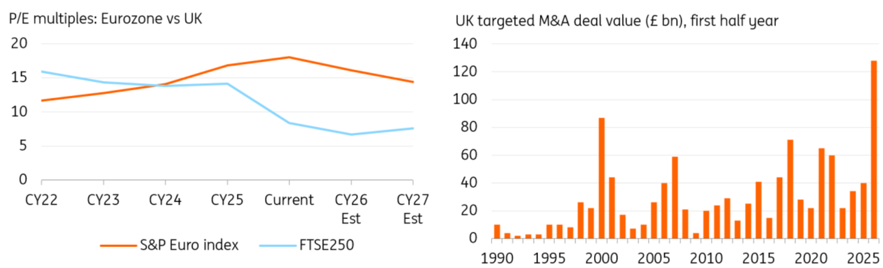

Source: Refinitiv, ING

## The M&A story is probably being overstated

Connecting M&A activity with currency moves is typically a thankless task – particularly when this cross-border activity can be FX-hedged, can be spread over many months and can be locally funded. Yet the available data does suggest there has been a huge pick-up in UK targeted M&A flows this year on the view that UK corporates are cheap.

Current price earnings multiples for the FTSE 250 trade at a steep discount to the S&P Euro index (around 180 names) and announced UK inbound inflows are running at record highs. Announced flows into the UK dwarf anything seen in continental Europe, with UK deals focusing on Financials (Schroders, Beazley, Allfunds Group), Consumer Staples (Food assets/Unilever) and Industrials (Intertek, Rotork).

## UK versus eurozone P/E multiples and UK M&A inflows

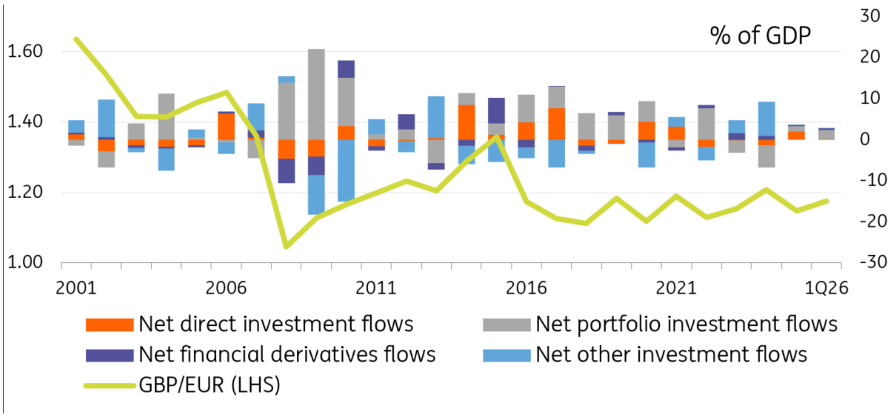



Source: LSEG, ING calculations

Pending and completed deals for UK companies this year add up to a staggering £220bn on some measures. But what we would say is that, over the last 25 years, net portfolio flows have on average been nearly five times larger than net direct investment flows. This can be seen below when looking at financial account flows as a % of GDP.

While M&A flows may occasionally grab the headlines in currency markets, they rarely drive sustained moves in currencies.

## UK net investment and portfolio flows versus GBP/EUR




Source: UK Office for National Statistics, Refinitiv

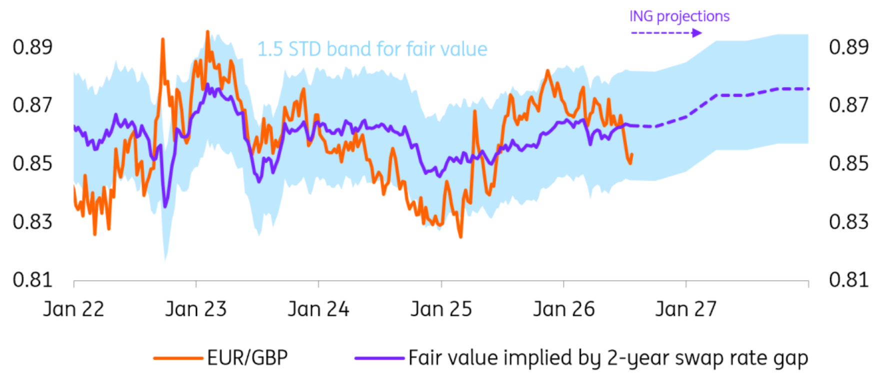
## The real driver ahead is the Bank of England

What typically explains currencies is relative growth trends and what they mean for the monetary and fiscal mix. Coming back to basics, EUR/GBP has lacked a sustained trend since 2022, but interest rate implied fair value has consistently acted as an anchor around 0.86. The fair-value estimate is derived from a 10-year weekly relationship between EUR/GBP and the EUR:GBP 2Y swap spread, providing a stable benchmark against which to assess valuation. As shown in the chart below, periods of substantial over- and undervaluation have typically reversed over time.

The pair currently sits close to the lower edge of the 1.5-standard-deviation valuation band, suggesting limited downside potential barring a substantial swing in short-term differentials in favour of the pound. On the contrary, our swap rate forecasts imply a gradual rise in EUR/GBP fair value over the coming years. That is based on the house view that UK inflation looks, barring a much larger energy surge, unlikely to challenge the 4% area – the 4% threshold seen as the trigger for a Bank of England hike. An unchanged UK policy rate and one further European Central Bank hike to 2.50% is our house call over the next six to nine months.

Our call on rate spreads suggests EUR/GBP should trade higher from here. But what about the fiscal story? Could there be any surprises there?

## Short-term rate differential is the medium-term anchor for EUR/GBP




Source: ING, Refinitiv

## Tight fiscal arithmetic becomes harder to ignore

Like much of Europe, there are plenty of reasons to be downbeat about the UK's public finances. Spending pressures are growing – from defence to health and social care. Debt interest costs are high and rising, not helped by Britain's large stock of index-linked bonds and increasing reliance on foreign investors (particularly hedge funds). The tax burden may be the highest in decades, but spending has risen more significantly as a share of GDP since 2019. And tax on wages – income tax and social security – is among the lowest in Europe as a share of average labour costs.

That said, the UK is also a rare example of a country undergoing some meaningful fiscal consolidation. Since 2021, the tax thresholds have been frozen in cash terms. And subsequent waves of inflation have dragged more and more people into higher tax brackets, increasing tax revenues as a share of GDP. This fiscal drag is planned to continue over the remainder of this decade. And it's a key reason why gilt issuance is falling significantly – from £303bn in FY2025 to £246bn in the current fiscal year.

In short, there's a more positive near-term public finance story even if longer-term, it's hard to see how borrowing doesn't increase over and above current budget plans.

Over recent weeks, investors had become more relaxed about Burnham's appointment, following his commitment to stick to the existing fiscal rules. In theory, that precludes a stimulus package this autumn that would either materially increase gilt issuance or change the calculus for the BoE. But Burnham's recent openness to bigger changes – including lifting the tax-free allowance and greater funding for social care – means a bolder budget can't be ruled out. Investors will be particularly sensitive to any headlines on tweaks to the fiscal rules in the run-up to Burnham's first budget this October or November.

## Sterling to hand back gains

Sterling's summer rally has come as a surprise to most, but it looks to be built on weak foundations. Into the autumn, we expect UK short-dated rates will be coming lower and the UK's fiscal position will again be under scrutiny. That means EUR/GBP doesn't need to spend too long down at these levels near 0.85 and we remain comfortable with our call for a move to 0.88 by year-end and a push to 0.90 in 2027. And based on our view that the Fed does not tighten in this cycle and the dollar softens, GBP/USD should continue to trace out a 1.32-1.36 range.

## ING's forecasts for GBP

| | 2026 | | 2027 | | | |
|---|---|---|---|---|---|---|
| | Q3 | Q4 | Q1 | Q2 | Q3 | Q4 |
| EUR/GBP | 0.87 | 0.88 | 0.89 | 0.90 | 0.90 | 0.90 |
| GBP/USD | 1.34 | 1.34 | 1.33 | 1.33 | 1.34 | 1.36 |

Source: ING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Article | 22 July 2026

TRADE UNITED STATES

# A new round of tariff woes: disturbing but not disruptive (for now)

Just when it seemed the summer break was within reach, a new round of trade tensions is already looming. August is increasingly shaping up to be another summer month dominated by trade disputes and tariff headlines


The last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation.

Trade tensions are back. While markets have been focusing on the war in the Middle East and the renewed rise in energy prices, the last two weeks have again been very busy on trade and tariffs, even by the standards of last year. Here is the latest state of play:

- Canada gets hit hardest. On 20 July, US President Donald Trump signed three proclamations imposing 50% tariffs on Canadian goods under Section 338, citing discriminatory treatment of US exports, effective 19 August, with carve-outs for energy, potash, critical minerals, fish, and goods already under Section 232. Section 338 (which dates from the Smoot-Hawley era in the 1930s) is a new legal frontier and, so far, has been untested in court.
- The new tariffs on Canadian imports are another sign that the North American trade

pact is now formally on its way out. Trump's decision not to extend the United States-Mexico-Canada Agreement on 1 July triggered a 10-year wind-down process. That mechanism is doing exactly what it was designed to do: create negotiating leverage. This week, US and Mexican officials launched a third round of bilateral talks in Mexico City, focusing on technical issues related to steel, aluminium, automobiles and labour standards. For now, it appears that Washington is seeking to negotiate a bilateral successor agreement with Mexico while increasingly treating Canada as an adversary.

- There are also clear efforts to respond to the Supreme Court's February ruling that struck down tariffs imposed under the International Emergency Economic Powers Act (IEEPA). The administration's emergency fix was to invoke Section 122 of the Trade Act of 1974: a temporary balance-of-payments surcharge that Congress capped at 15% and limited to 150 days. As a result, it will automatically expire at 12:01 a.m. on 24 July, exactly 150 days after it came into effect.
- That was always scaffolding, never the building. The permanent replacement began to take shape on 12 March, when the US Trade Representative launched Section 301 investigations into forced labour as part of an explicit strategy to rebuild the tariffs struck down by the Supreme Court. The Section 301 action covers roughly 60 economies – about 99% of US import value – in two tiers: 10% tariffs on 14 economies including the EU, UK, Canada and Mexico, and 12.5% on 46 others, including China, Vietnam, India and Japan. Unlike Section 122, Section 301 has no statutory rate cap and no built-in expiry date. These tariff rates are probably low enough for most US trading partners not to oppose them. The European Commission, for example, has already signalled that these duties are unjustified but that it would accept them as long as they stay under the 15% Turnberry cap. Pragmatism dressed as principle, or principle dressed as pragmatism?
- There has been trade policy as theatre, with NATO as the stage. Trade policy has also become political theatre, with NATO serving as the stage. At the NATO summit on 8 July, Trump said he wanted to "cut off all trade with Spain, including visits", describing the country as "a terrible partner in NATO" that neither contributes nor pays its fair share. Why does this mainly fall under the label 'theatre'? Well first, trade policy is an exclusive EU competence and there is no legal instrument for tariffing one member state out of the single market. Anything targeting "Spanish" goods would hit EU goods and collide head-on with the Turnberry framework the US government itself signed. Second, the arithmetic argues against it: the US runs a goods surplus with Spain (roughly $26 billion in exports against $21 billion in imports), so an embargo would hurt American exporters more than Spanish ones. And third, the threat already served its purpose: within a day, Trump claimed Spain had "come back all the way" and agreed to pay more after the embargo threat. Whether Madrid actually conceded anything is disputed, but the pattern is the recognisable one: maximal threat, declared victory, quiet de-escalation.

## New tariff woes: disturbing but not disruptive

All of these developments suggest that trade policy is once again moving to the forefront of market attention. However, maybe even more so than last year, the headlines are proving more disruptive than the reality. Admittedly, this latest bout of tariff brinkmanship comes at a time when the global economy is in a weaker position than it was on Liberation Day, not least because of higher energy prices. At the same time, however, the last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation. The world has also adjusted to at least some degree of higher trade barriers. As a result, while a fresh round of tariff threats may disrupt the summer lull, it's unlikely to have the same disruptive power as it did last year. For Europe, at least, the drought and exceptionally low water levels in key waterways may ultimately prove more disruptive than the latest tariff woes.

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### Disclaimer

Article | 20 July 2026 COMMODITIES, FOOD & AGRI

# El Niño casts a shadow over agri markets, but global food fears may be overblown

Forecasts point to a strong El Niño event at the end of 2026, raising fears over food supplies and prices. While we believe these fears are overstated at the global level, El Niño poses a more significant regional risk to agricultural output, particularly in Asia-Pacific, meaning food and agribusinesses should prepare for potential disruptions

A farmer in Manila, the Philippines. The impact of El Niño on global agricultural output is fairly limited, but Asia-Pacific is more exposed

## El Niño at a glance

- El Niño is only one factor shaping commodity prices
- APAC among the most exposed regions
- Asian aquaculture is already feeling the impact
- The Indian monsoon season has got off to a slow start
- Forest fires, river water levels and rain onset data provide early warning signals
- El Niño can cause large production swings at the national level

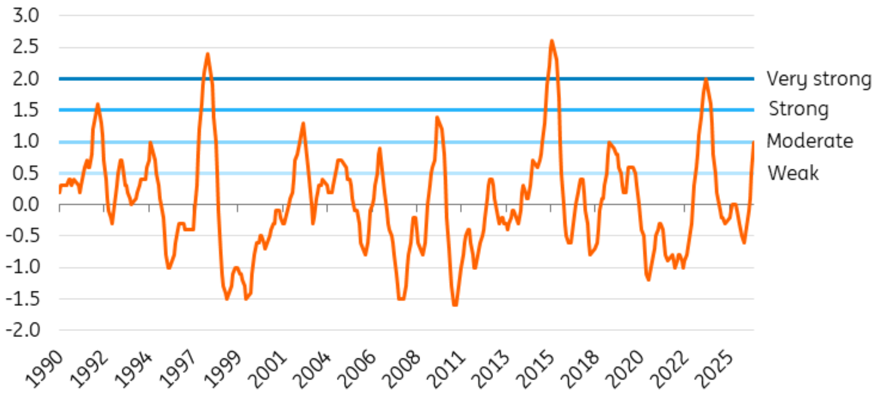
- At the company level, we'll see both short-term pain and short-term gain

## Hola, El Niño! What happens when Hormuz and El Niño meet?

Global agricultural markets are still dealing with the impact of the disruptions to energy and fertiliser flows through the Strait of Hormuz. And as recent developments highlight, this risk is still very present. However, a new risk is building for agri markets, which has the potential to ripple through to the broader food and agricultural sector, and ultimately the global economy, in the form of food inflation. This risk is El Niño, which is now upon us, and forecasts are growing for a very strong event by year-end.

## 2026/27 El Niño has been gaining strength

Oceanic Niño Index with threshold levels, three-month running average up until June 2026

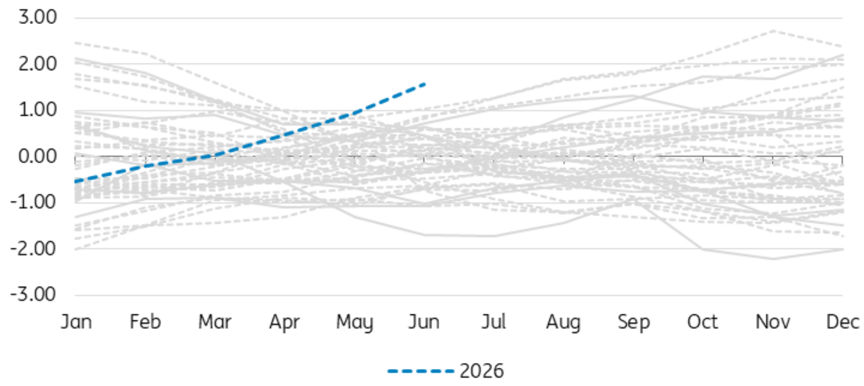



Source: NOAA, ING Research

Data from the National Oceanic and Atmospheric Administration, a leading US agency, shows that sea surface temperatures in a certain part of the Pacific Ocean (which provides a good indication of El Niño conditions) continue to rise, with an anomaly of +1.5 degrees Celsius in June, and this is expected to rise further through year-end. This is the highest reading for June going as far back as 1982. NOAA forecasts that there is a 97% chance that these conditions will continue through early 2027, and an 81% chance of a very strong El Niño during October to December of this year, placing it among the strongest on record since the 1950s.

## Sea surface temperatures in El Niño region in June above historical levels

Monthly sea surface temperature anomalies in the El Niño 3.4 region, 1982–2026




Source: NOAA, ING Research

## A realistic view: the impact of El Niño on global agricultural output is fairly limited

This all sounds very alarming, and hardly a day goes by when you don't read about impending declines in agricultural output and higher spikes in food prices. Fearmongering generates clicks, and, of course, El Niño can have a significant impact on certain regions and crops, but it can also be beneficial to other regions and crops, including soybeans. Clearly, the big caveat is that no two El Niño episodes are the same, so there is always a higher degree of uncertainty and risk.

However, if we look at agricultural output for some key crops through moderate to very strong El Niño events in the past, the impact on global agricultural output has been fairly limited. Admittedly, the 2015/16 El Niño event did have a broad-based impact on key agricultural commodity output. But again, on the whole, not alarming.

Technology has also made El Niño less disruptive to agricultural output than it was 30–40 years ago. Wider irrigation coverage helps reduce water stress for crops. In 1980, farmers had equipped around 11% of cultivated area for irrigation; by 2023, that share had doubled to 22%. They also used irrigation more intensively: the share of equipped area actually irrigated rose from around 65% in 1980 to almost 83% in 2023.

Seed technology has advanced as well, improving drought tolerance in some crops. Satellite technology has also strengthened crop monitoring, giving producers and buyers better visibility on emerging stress.

Finally, let's not forget that Brazil has become an agri powerhouse over the last 20-30 years, and El Niño can be beneficial for many crops in South America. However, the risk around this comes down to concerns over fertiliser availability, particularly given the re-escalation of tension in the Middle East.

Looking at global agri output changes for some key crops during El Niño periods does not scream crop shortages. That said, the effects on some perennial crops, such as palm oil and sugar cane, can become more apparent in subsequent years.

## Upward and downward shifts in global crop output during El Niño periods

Output change (YoY %) for key agri commodities during last five moderate to very strong occurrences

| | 1997/98 Very strong | 2002/03 Moderate | 2009/10 Moderate | 2015/16 Very strong | 2023/24 Strong |
|---|---|---|---|---|---|
| Corn | -3% | 0% | 3% | -4% | 6% |
| Wheat | 5% | -2% | 0% | 1% | 0% |
| Soybeans | 20% | 6% | 23% | -2% | 5% |
| Rice | 2% | -5% | -2% | -1% | 1% |
| Palm oil | -4% | 9% | 4% | -5% | -1% |
| Sugar | 1% | 11% | 7% | -7% | 0% |
| Coffee | -6% | 14% | -5% | -1% | 3% |
| Cocoa | -1% | 10% | 1% | -6% | -13% |

Source: USDA, ING Research

## El Niño is only one of many factors shaping commodity prices

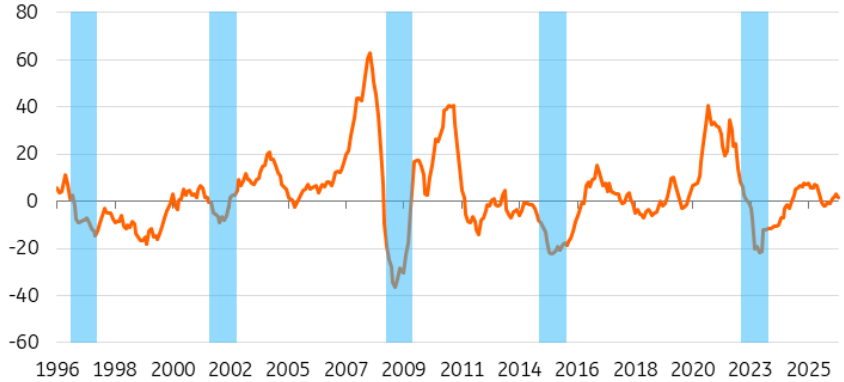
The story does not end with supply. At the end of the day, consumers and governments care about food prices. Yet a look at the UN FAO Food Price Index across past El Niño episodes does not point to a clear pattern of rising prices. In fact, during several of these events, the index actually declined.

The biggest increase during recent El Niño periods occurred during 2009 and 2010. However, this move was part of a broader recovery in commodity prices with Chinese stimulus and the global rebound following the financial crisis. It would be unfair to attribute this rise in prices to El Niño. Similarly, recent significant spikes seen in the FAO food index have generally been driven by factors other than El Niño, including demand shocks and tight inventories. So, while it is prudent to be alert to the risks relating to supply and prices, particularly with forecasts for a very strong El Niño this year, we would caution against assuming that the global outlook is bleak.

Adding another layer of reassurance to markets will be the fact that grain inventories are very comfortable, providing a buffer against potential supply shocks. However, in a scenario where inventories are drawn on heavily, markets will be left relatively tighter post-El Niño.

## Recent spikes in food commodity prices outside El Niño events

Year-on-year change in FAO food price index with moderate to strong El Niño periods highlighted




Source: United Nations FAO, ING Research

## A deep dive into Asia Pacific: one of the most exposed regions

While global food and agricultural production should remain broadly resilient, there will of course be regional variances and localised impacts. The Asia-Pacific region has historically borne more of the brunt of El Niño, with parts of South and Southeast Asia, as well as northeastern Australia, experiencing drier than usual weather conditions. There is a significant probability that weather disruptions will intensify during the second half of 2026, compounding what has already been one of the hottest periods on record for many countries in the region. That combination poses risks for various crops, including Australian wheat, Indonesian and Malaysian palm oil, Thai and Indian sugar production, as well as rice output across parts of the region.

## Asian aquaculture is already feeling the impact...

The potential impact on crops is receiving most of the attention. But one industry that's heavily concentrated in Asia and is already exposed is aquaculture. Catch restrictions on Peruvian anchovy due to El Niño have led to a more than 75% year-on-year increase in fishmeal prices, also because Peru is a leading producer of this essential ingredient for fish and shrimp feed. For farmers and aquaculture companies across Asia, that's concerning given that feed is their largest cost component (typically 55% to 65% of total farm expenses).

## …meanwhile the Indian monsoon season has got off to a slow start

The Indian monsoon offers another important warning signal for possible El Niño weather patterns. Running from June to September, the season has got off to a slow start, and the Indian government has forecast rainfall at just 90% of the long-term average for 1971–2000. Although rainfall has since moved closer to normal levels, it still stands 24% below normal so far this season. This gap could narrow over the rest of the monsoon, but alarm bells are already ringing. Some agri markets could face additional pressure if concerns over domestic food availability push the Indian government to impose export restrictions. The government has done this before and earlier this year banned sugar exports at least until the end of September 2026.

## Forest fires, river water levels and rain onset data provide early warning signals

While other supply chains across APAC don't have the same exposure yet, fish feed prices and the Indian monsoon act as the proverbial canary in the coalmine because they offer an early indication of what may follow. So, what other signals might provide a glimpse of what's to come? At first sight, real-time data on forest fires in Indonesia, water levels in the Mekong River, and the latest forecasts for the onset of the northern Australian wet season appear unrelated. But taken together, these indicators offer an early warning of where El Niño could begin to disrupt agricultural supply chains across the Asia-Pacific region next.

## El Niño can cause large production swings at the national level

Output data for key agricultural commodities across APAC confirms that the region tends to be more vulnerable to El Niño, particularly during strong episodes. Looking at the region in aggregate masks strong crop declines at the country and crop level. For example, Australian wheat output often comes under pressure during El Niño periods, even during weaker episodes. And the declines can be very sharp. In 2002/03, Australian wheat output fell by 58% YoY, while during the most recent El Niño in 2023/24, production declined by 36% YoY.

## Very strong El Niño in 2015/16 coincided with a drop in crop production in APAC

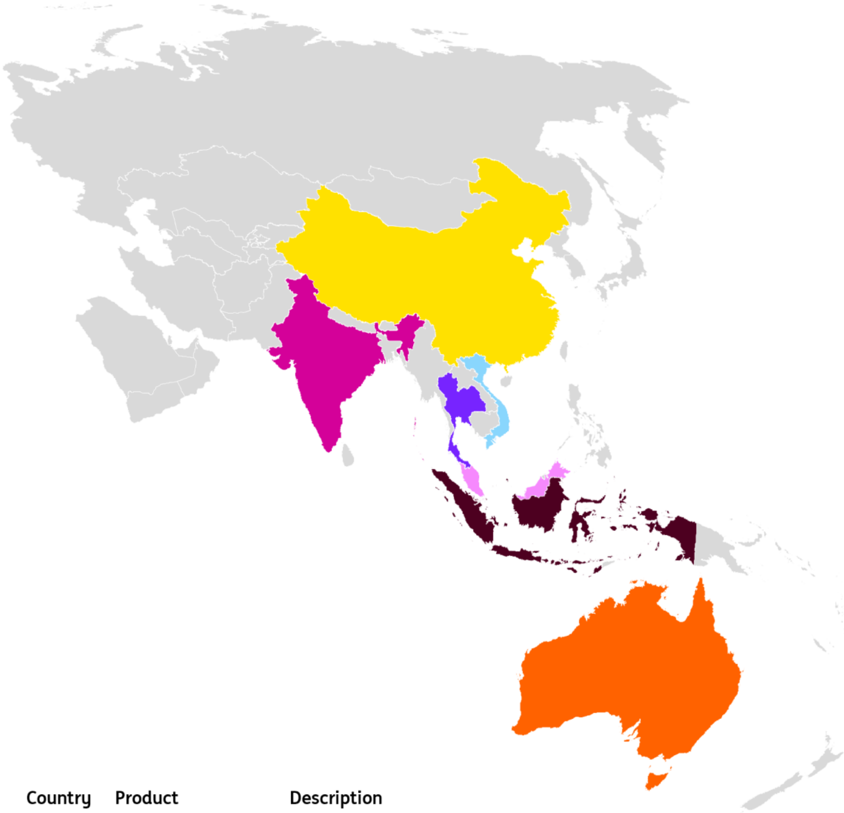
Output change (YoY %) for key agri commodities in the Asia Pacific region during the last five moderate to strong occurrences

| | 1997/98 Very strong | 2002/03 Moderate | 2009/10 Moderate | 2015/16 Very strong | 2023/24 Strong |
|---|---|---|---|---|---|
| **Wheat** | 8% | -7% | 5% | -3% | -2% |
| **Corn** | -15% | 4% | -2% | 5% | 3% |
| **Rice** | 2% | -6% | -2% | -1% | 1% |
| **Sugar** | -3% | 14% | 4% | -9% | -13% |
| **Palm oil** | -5% | 10% | 4% | -6% | -1% |

Source: USDA, ING Research

Meanwhile, APAC sugar production consistently sees declines during strong El Niño events, with declines led by India and Thailand. Moreover, the impact on supply is not confined to the El Niño period itself. Because sugar cane is a perennial crop, production can remain under pressure in the following year as well.

## Rice, sugar, wheat, aquaculture and beef all exposed in APAC



| Country | Product | Description |
|---|---|---|
| Australia | Wheat, sugar, beef, dairy | Prolonged drought can reduce crop yields and pasture availability. Also leading to increasing feed costs, lower milk output and pressure on livestock herds. |
| China | Corn, sugar | Overall impact more moderate, main concern around corn due to larger likelihood of summer droughts. |
| India | Rice, wheat, sugarcane | Rainfall deficits can pressure yields. Lower crop output could turn India into a net importer of certain crops. |
| Indonesia | Palm oil, rice | Drier conditions may affect yields, reduce availability of water for irrigation and increase wildfire risk, particularly in plantation and forest areas. |
| Malaysia | Palm oil | Drier weather can reduce palm oil yields and raise plantation fire risk. |
| Thailand | Rice, sugar, aquaculture | Lower water availability can affect crop production and freshwater aquaculture. |
| Vietnam | Rice, aquaculture | Increased risk of drought, in the Mekong River delta drought and saltwater intrusion could affect crops like rice and aquaculture. |

## The corporate response: how to prepare for yet another risk

Agri & food companies have had to manage their fair share of risks over the past few years, and climate-related risks are a recurring theme. With another major event on the horizon and knowing that APAC is more exposed, it makes sense for companies that either produce in or source from the region to go over their prep work again.

That includes at least three steps: risk assessment, risk reduction and preparation for any rapid response measures.

1. Closer monitoring of developments, combined with company-specific data, enables decision makers to identify whether any material impact is expected. This goes beyond the procurement team because other areas like logistics can also be affected. Weather disruptions can hinder logistics within the region as well as major trade routes to the US, where we already see some restriction of capacity in the Panama Canal.
2. If there is a material impact, companies can take additional measures to reduce risks. This could be through physical measures, including improved irrigation, additional water or feed storage and measures to reduce risks of forest fires. Taking financial measures can also help traders manage risk, for example by focusing on their hedging strategies, maintaining adequate liquidity, and protecting profitability.
3. Another way to reduce risk is by increasing operational flexibility. Capacity utilisation in food processing could be affected when farmers make different planting decisions or when harvests are lower or delayed. More substitution of certain inputs might be required. Coming back to our fishmeal example, the jump in fishmeal and fish oil prices means that feed companies have an incentive to use alternatives, including soymeal and algae in their feed mix. The companies that succeed in doing so will have a cost advantage.
4. Physical or regulatory disruptions could occur later this year. Export restrictions from individual Asian countries on certain crops to shield domestic supply are one example.

## Designing a dashboard to better assess risks

So, if you're a decision maker in the food industry and want to keep a close eye on how the impact of El Niño develops in APAC, what would your 'risk monitoring dashboard' look like? In essence, it will likely include data on commodity prices, crop conditions (including AMIS crop monitor, Abares crop report) and weather patterns (like Indian monsoon rainfall). We argue that adding real-time data on physical indicators can further improve visibility on what happens on the ground.

Examples of such data are:

- Sea surface temperatures in El Niño area
- Anchovy landings in Peruvian ports
- Water reservoir levels (for example in India, Thailand)
- Water levels in the Mekong river at Kratie in Cambodia
- Forest fires in Indonesia

Many of the larger food & agri companies will have a certain kind of monitoring in place because of previous extreme weather events or other supply disruptions, especially if they're operating more upstream. But for others, including companies operating more downstream in the food & agri value chain, the 2026/27 El Niño could be the trigger to invest more time and resources to better prepare for any hit to the supply chain. Even if the impact at a country or commodity level turns out to be less severe than feared, good planning now will help with the next weather-related supply shock.

## Short-term pain and short-term gain at the company level

We have argued that El Niño tends to have a limited impact on global agricultural supplies and food prices. That said, its effects can be significant at the regional level, with Asia-Pacific among the most vulnerable regions. The current situation highlights the wide range of risks companies must manage, from geopolitics to climate-related disruptions. While some businesses are likely to face short-term challenges, others may benefit from short-term opportunities. For companies in the APAC region, the ability to adapt will be crucial in the event that conditions deteriorate. Meanwhile, food and agriculture businesses elsewhere, particularly in the Northern Hemisphere, could benefit in the near term if production in the most affected regions falls short of expectations.

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### Disclaimer

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UNITED KINGDOM

# How Andy Burnham could surprise UK markets

Britain's new prime minister's bold ambition is constrained by tight fiscal rules and a commitment not to raise major taxes. An understated Autumn Budget looks like the growing consensus. But don't rule out bigger plans on anything from capital investment to the fiscal rules – or, crucially, a snap general election

The prospect of Andy Burnham becoming prime minister was enough to unsettle UK markets just a few months ago. His arrival in Downing Street, by contrast, has triggered little reaction

## Britain has a new prime minister

Two months ago, UK markets recoiled at the prospect of new Labour leader Andy Burnham becoming prime minister. Today, his arrival in Downing Street has been met with little more than a shrug.

Risk premium in the bond markets looks contained. Most investors I speak to don't expect him to rock the boat this year, even if there are concerns about the fiscal trajectory further ahead.

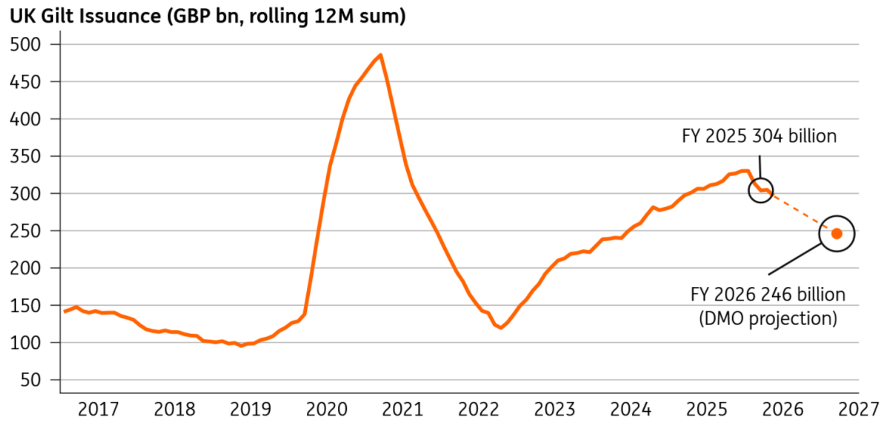
That thinking is understandable. Burnham's bold ambition towards everything from social housing investment to nationalisation is constrained by a commitment to stick to the fiscal rules and not raise the biggest taxes.

That tentatively points towards a relatively modest Autumn Budget. Expect a focus on policies that are as eye-catching as they are cheap and simple to implement.

Talk of plans to cut bus fares and lower taxes for hospitality is a case in point. As are proposals to shift a further share of policy costs from electricity bills onto general taxation, at a cost running into the low billions. That would conveniently coincide with a likely fall in the regulated energy price cap in October and would help push headline inflation lower at a time of heightened Bank of England sensitivity to price pressures.

Admittedly, those demands will run up against some thorny, unresolved issues from the Starmer era. Like the steep real-terms cuts to unprotected government departments planned for 2029, which will likely cost around £6bn in that year to reverse. Or the £4.7bn left unfunded in the recently announced Defence Investment Plan.

## UK borrowing is set to fall sharply this year




Source: Macrobond, Debt Management Office, ING

But the truth is the numbers here are not huge – and can be accommodated in the fiscal rules. Burnham can thank outgoing Chancellor Rachel Reeves, whose long-planned changes to the fiscal framework are set to create roughly £16bn of additional borrowing room this autumn against the current budget rule. That should help offset some of the deterioration in the Office for Budget Responsibility's forecasts stemming from higher borrowing costs and lower migration assumptions.

Tax increases wouldn't necessarily need to be dramatic, either. Reeves considered a smorgasbord of tax hikes last autumn, many of which went unused – not least because they typically raise little cash and present major trade-offs. But together a handful of measures – covering banks to pensions – could help finance a modest fiscal easing.

In short: some extra spending, some tax rises, a modest increase in borrowing – but not enough to reverse a steep fall in gilt issuance this year. The Debt Management Office expects to issue £246bn of bonds, down from £304bn in the last fiscal year. Britain is a rare example of an economy going through genuine fiscal tightening right now, a consequence of the ongoing freeze in tax thresholds.

This scenario isn't likely to change our call for the Bank of England to start cutting rates again in 2027.

So far, so boring. So how could Burnham surprise markets this autumn?

## Big CapEx, tax reform or fiscal rule changes?

A boring budget doesn't win elections – nor does it square with Burnham's rhetoric about big change. So a much bolder budget clearly can't be ruled out. Uncertainty is high; detail on the new prime minister's budget plans is light.

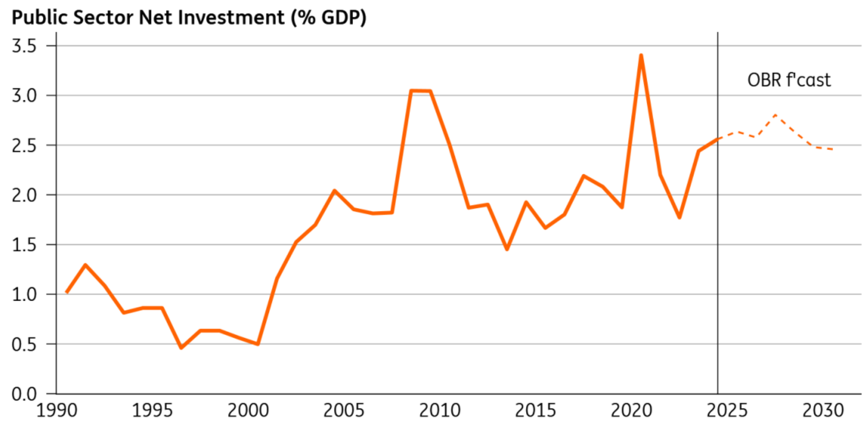
Don't forget that everyone expected Starmer's first budget to be dull. Then it ended up containing the biggest fiscal stimulus outside the pandemic since 2010.

Similar fireworks could come in five areas:

First, CapEx. Burnham wants to go big on social housing, but that's difficult under a rule dictating that net financial debt must start falling within three years. But the word "financial" is key; investment that involves an equity stake or loan would be treated more favourably, because they create financial assets as well as liabilities.

It's why we're hearing about new regional housing banks to finance social housing, or greater use of the National Wealth Fund to support infrastructure. Yet while these investment vehicles flatter the fiscal rules, they still usually require some upfront cash and therefore higher issuance – which ultimately is what markets are interested in. Thames Water and the push for greater public control will be an early test of ambition in this area.

## Public investment as a share of GDP




Source: Macrobond, Office for Budget Responsibility, ING

Second, welfare reform. This is seen as totemic by many investors, even if the scope for material savings is very limited. Welfare spending accounts for a growing share of government expenditure. But Starmer's efforts to cut disability and pensioner benefits sparked huge backlash. Burnham has given little sign he wants to pick a fight over the Triple Lock, which sees the State Pension rise by the higher of inflation or earnings growth. But a surprise push here might be rewarded in lower gilt yields.

Third, tax reform. Property taxes aren't working – virtually everyone accepts that. And Burnham has indicated reform here will be a key focus. Proposals tend to focus on stamp duty – which is paid by buyers and is seen as a brake on housing transactions – and council tax, which is levied based on a property's value in 1991. This has become a key focus for proponents of a wealth tax.

Yet reform would be hugely contentious. What if you've just bought a house and risk being taxed twice? Revaluing council tax would also create huge winners and losers – but without necessarily raising any fresh cash. A lot of controversy for not much gain under the fiscal rules, with an election slowly coming into sight? It's why most expect efforts here to start with a further expansion of the so-called "mansion tax" being levied from 2028.

Then – fourth – there's tax more broadly. Reports this weekend hint that Burnham is open to raising the tax-free allowance for workers, a move that wouldn't come cheap. A 10% increase in the allowance, which has been frozen at £12,570 since 2021, would cost £11bn per year according to Treasury calculations.

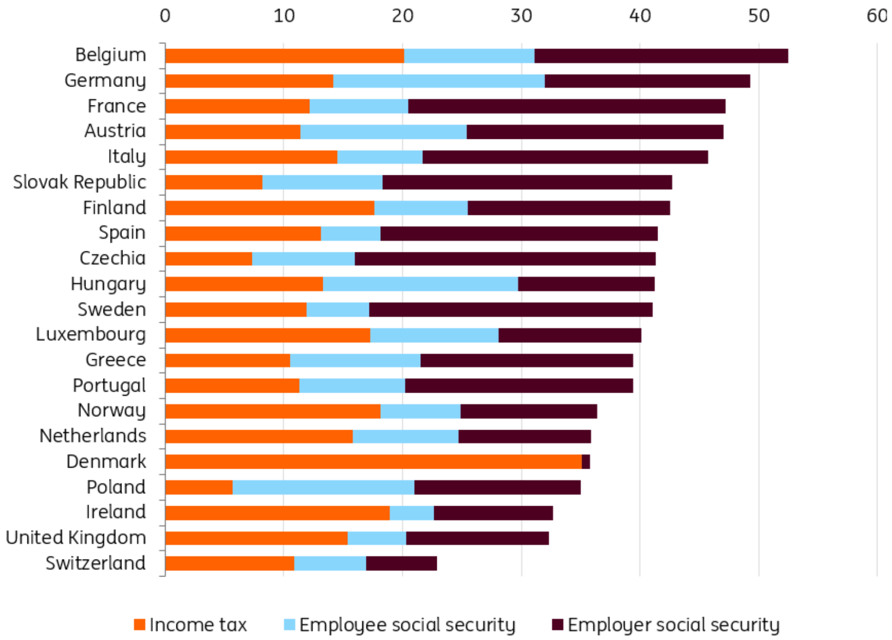
Much depends on the size of any increase and how it might be funded. Burnham might be drawn to the Resolution Foundation's proposed "tax switch": a 2ppt cut in National Insurance offset by a 2ppt rise in income tax. Because income tax has a broader base, this would raise about £6bn a year while leaving employee tax bills largely unaffected.

But even if the cost were mitigated, markets still probably wouldn't react kindly. Remember the freeze in tax thresholds is a major driver of lower borrowing this year and projected deficit reductions in the years ahead. Reversing course would cast doubt on the Treasury's commitment to those plans.

It would also shine a light on the combined income tax and National Insurance burden on the average worker, which is among the lowest in Europe according to the OECD. That's despite the UK's overall tax burden being at its highest level in decades.

Without difficult decisions on those major taxes – and set against the cacophony of fiscal challenges coupled with Labour's big ambitions – it's hard to see how the Treasury avoids relying more heavily on borrowing in the years ahead.

## Tax rates as a share of labour costs for a worker on an average salary (%)




Source: OECD Taxing Wages 2026

Results based on a single individual without children earning the average wage

That brings us neatly to the final source of surprise: changes to fiscal rules. To us, this looks inevitable over the coming years, even if the widespread assumption is that it won't happen in 2026.

One option involves exempting defence spending or other investment from the fiscal rules entirely. The Treasury might fairly argue that investors would prefer that over borrowing on day-to-day spending. But more borrowing is more borrowing, however you look at it. And markets would react accordingly.

Remember, investors don't care about the fiscal rules per se; they care about the level of issuance they imply.

But what if the surprise isn't the budget at all?

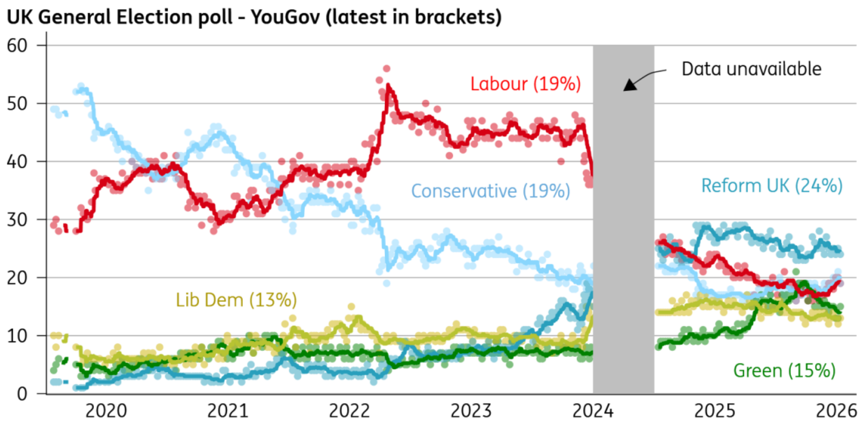
## The wildcard: a snap election

A snap election is still the major wildcard. And markets probably wouldn't like it.

On paper, it looks highly unlikely. Why risk losing Labour's enormous 166-seat working majority at a time when the polls suggest the party would lose almost half its seats if an election were held tomorrow? Betting markets put the chances of a snap election at 15-20%.

Then again, Burnham won more than 50% of the vote in his new constituency of Makerfield a few weeks ago – a seat that would likely otherwise have been claimed by Nigel Farage's Reform UK. If that sentiment spreads into the national polls, then it's easier to see how Burnham might be tempted. Particularly when history tells us a new leader's popularity rarely goes up and usually goes down over time.

## Reform lead the UK's opinion polls




Source: YouGov

It would fit a recent tendency of prime ministers to seek their own mandate. We saw it with Theresa May in 2017 and Boris Johnson in 2019. Yes, there are differences today (Johnson benefited from Brexit fatigue and Farage's then-Brexit Party standing aside at the election). But Burnham's team might also conclude his policy platform is only possible with a full five-year term to throw at it. It would almost certainly come at the cost of a smaller majority. But then we've seen with both Starmer and Johnson that huge landslides are no guarantee of eternal power within one's own party.

None of this comes without significant risk. May lost the Conservatives their majority in 2017 despite entering the campaign in a strong position in the polls. That's why an election is not our base case.

But the probability is perhaps higher than the betting odds imply. And a snap election probably wouldn't be received well by investors – assuming it could imply bolder borrowing plans if Labour resecured a majority, and policy paralysis if it didn't.

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### Disclaimer

Article | 27 July 2026 FX

# FX Daily: Pre-FOMC positioning may favour the dollar

The Fed should keep rates on hold on Wednesday, but Chair Kevin Warsh's opposition to forward guidance may encourage markets to hold dollars as protection against hawkish surprises. The sharp fall in oil prices is supporting EUR/USD, but downside risks remain unless a clear de-escalation path emerges. The Bank of England should remain on hold on Thursday


The dollar is carrying stronger momentum into Wednesday's FOMC meeting

## USD: Weaker on a fragile pause in conflict

The dollar enters Fed week ahead of Wednesday's decision with better momentum. Last week, EUR/USD finally edged lower from its recent range as markets took the escalation in the Middle East more seriously. However, Brent has fallen back to $92/bbl, likely on the back of news that Iran and Oman are negotiating over the Strait of Hormuz and a second day of a pause in fighting with the US.

As discussed in last week's webinar, it would not take much to push oil back above $100 and even $120. Unless conflict continues to pause and negotiations gain traction, we still see room for the dollar to strengthen in the near term.

A lack of de-escalation over the next 48 hours should also keep pressure on the Federal Reserve to sound hawkish on Wednesday. In our preview, we explain why we expect rates to remain on hold, but also why oil has firmly reclaimed a central role in shaping monetary policy expectations. We also suspect that Chair Kevin Warsh's dislike of forward guidance raises markets' perceptions of meeting-day surprise risks. That could encourage precautionary USD buying ahead of the announcement. Markets currently price 8bp for this meeting and 41bp by year-end.

The key US data release this week is Thursday's second-quarter GDP report. Consensus expects annualised quarter-on-quarter growth of 2.1%, unchanged from 1Q. June core PCE is forecast at a moderate 0.2% month-on-month, although it may already look stale by then.

*Francesco Pesole*

## EUR: Gas remains too high for comfort

EUR/USD has bounced back above 1.140 as oil prices dropped sharply today. Still, that move looks somewhat optimistic given the absence of a clear de-escalation path. Any renewed military strikes could quickly send Brent back to $100/bbl and EUR/USD below 1.1380. Potential precautionary USD buying ahead of the FOMC may also weigh on the pair into Wednesday.

Gas prices are another reason we remain cautious on EUR/USD unless tensions ease quickly. Even after today's decline, TTF is trading at €58/KWh, more than 30% above levels at the start of July and close to the March highs. So while Brent is nowhere near its peaks, gas is. Given its importance in eurozone energy imports, the euro's terms of trade – statistically the most important medium-term driver of EUR valuation – are also hovering near March lows and at levels comparable to 2023.

We see limited support for the euro from domestic developments this week. Germany's Ifo surveys are expected to stabilise today, but Thursday's 2Q GDP print should still show only 0.1% QoQ growth, leaving a wide gap versus the US. On Friday, eurozone CPI is expected to rise above 3.0%, but with core inflation still near 2.5%, we do not think that will trigger aggressive hawkish repricing. Markets price 42bp from the European Central Bank by year-end, but that outlook should remain highly sensitive to ongoing oil volatility.

*Francesco Pesole*

## GBP: BoE on hold this week

In our view, the rebound in EUR/GBP – now 1% above the 15 July low of 0.8455 – still has further to run. We discuss the rationale in detail in this note, and our short-term valuation models still suggest the pair is cheap at these levels.

Thursday's Bank of England meeting is the main event. Rates should remain on hold, but the focus will be on whether support for tighter policy broadens within the MPC. Catherine Mann may join Huw Pill and Megan Greene in voting for a hike, although we still expect a 7-2 vote in favour of unchanged rates. Higher energy prices remain an upside risk to inflation, but we expect the updated projections to show CPI peaking comfortably below 4%.

If inflation is still expected to remain contained, we believe the BoE will leave rates unchanged for the rest of the year. With markets pricing 38bp of tightening by year-end, dovish repricing remains, in our view, the clearest near-term risk for sterling.

*Francesco Pesole*

## CEE: Softer geopolitics to set the tone

The end of the month is typically quieter in the CEE region. This week, Thursday brings key growth releases. We expect Czech 2Q GDP at 0.5% QoQ and 2.1% year-on-year, compared with 0.2% QoQ and 2.2% YoY previously, pointing to stronger sequential growth momentum despite slightly softer annual growth. The same day, we expect Hungary's 2Q GDP to accelerate to 1.2% QoQ and 2.4% YoY from 0.8% QoQ and 1.7% YoY, consistent with stronger activity than indicated by earlier estimates and supporting a more constructive growth outlook.

On Friday, we expect Poland's July inflation at 0.9% MoM and 3.1% YoY, up from -0.5% MoM and 2.5% YoY, marking a notable acceleration in headline inflation, largely reflecting higher fuel prices following the expiry of retail fuel support measures.

The Czech National Bank's blackout period ahead of the August meeting starts on Thursday, so board members may provide further signals in the coming days. Last week, Jan Kubicek said another rate hike remains under consideration, but there is no urgency for now. That points to no change in August, in line with our forecast.

The lack of further escalation in the US-Iran conflict over the weekend, together with signs of peace talks, should support some recovery in CEE rates after aggressive rate hike pricing returned on Thursday. High-beta currencies such as the forint and zloty should benefit from this backdrop. By contrast, the koruna could come under pressure and move back above 24.200 EUR/CZK, given its strong link to rate differentials and the extent of recent rate hike pricing.

*Frantisek Taborsky*

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### Disclaimer

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RATES SPARK

# Rates Spark: Either way, the Fed will surprise

Markets are split about the Fed's move on Wednesday, and with no forward guidance, we don't expect that to change. In any case, we still take a more dovish view than markets, not just of the Fed, but also the Bank of England and European Central Bank. But with oil still the main driver, timing a material dovish turn remains difficult

We don't think the Federal Reserve will hike rates this week, but markets see a significant 30% probability

## Markets still too hawkish, but hard to fight against oil

The key event to watch this week will be the Federal Reserve meeting on Wednesday, especially now that markets are split about the outcome. The priced-in probability of a hike is around 30% and has been feeling upward pressure on the back of higher oil prices. This weekend's headlines took Brent oil below $100 again, but the situation in the Middle East remains fragile.

Our economists expect a hold at this Fed meeting, and if oil prices ease further, no hike should be needed at all this year. That means we still see significant scope for 2Y USD swap rates to move lower from here. Having said that, we might not learn much from Fed Chair Kevin Warsh at this meeting given his dislike for forward guidance.

We also have the Bank of England meeting on Thursday, but here markets only see a negligible chance of a hike. Still, similar to the US, we think markets are positioned too hawkishly. Unless new forecasts start showing inflation above 4%, the BoE should be able to hold the policy rate at 3.75%. The front end of the sterling curve continues to be driven by oil, but 10Y gilt yields could also face more upward pressure from the ongoing political uncertainty.

In the eurozone, we have inflation numbers coming in on Friday, which will be watched closely. Last week the ECB again emphasised the lack of data available to assess the magnitude of second-round risks. This also explains why euro swap rates have religiously followed oil prices, given it's still the only timely data point that helps predict the potential impact on inflation. Unfortunately, with oil prices higher again than a month ago, this inflation print will not provide a complete picture. If core inflation manages to stay at 2.4%, that should at least provide some peace of mind that the pass-through so far is not excessive. Having said that, a September hike will be more a function of oil and gas prices from here than the CPI figures.

## Monday's events and market views

From Germany, we start the day with Ifo survey outcomes, where consensus sees the expectations component improving from 84.1 to 84.7. But similar to the better PMI readings from last week, these figures do not fully account for the latest escalation in the Middle East. The US will publish durable goods orders for June.

Belgium will auction 5Y OLO, 7Y OLO and 9Y OLO bonds for a total of €2.8bn. The US will auction a new 2Y Note and a new 5Y Note for a total of $139bn.

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### Disclaimer

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# The Commodities Feed: Oil slumps as the US and Iran pause strikes

Oil prices fell sharply in early trading as the US and Iran refrained from further military action, offering the first tangible signs of a potential de-escalation in tensions

## Energy – Saudi energy infrastructure targeted

The price action in oil this morning clearly reflects the market's desperation for positive news. After 13 days of strikes, the US has held off on further strikes over the last 2 days, while Iran also paused retaliatory attacks. The recess has seen Brent retreat aggressively, down more than 7% at one stage, briefly below US$90/bbl. While this is the first tangible signal of de-escalation, the reasons behind it are less clear. There's little explanation from the US. Also, it hasn't yet led to any meaningful pickup in vessel flows through the Strait of Hormuz. We're unlikely to see any recovery until there's clarity on whether this de-escalation is more permanent and whether vessels can navigate the strait without fear of attack.

While there are signs of de-escalation between the US and Iran, the Houthis in Yemen stepped up their attacks on Saudi Arabia. The Houthis claimed to have attacked a number of targets in the country, including energy facilities in Jazan and Yanbu. Amid disruptions in the Strait of

Hormuz, Saudi Arabia has been exporting the bulk of its crude oil from Yanbu on the Red Sea.

Disruptions are piling up. Oil loadings at Russia's Sheskharis terminal in Novorossiysk have reportedly been halted since 21 July. Bloomberg notes the facility has shipped roughly 650k b/d this year. This coincides with the suspension of oil loadings at CPC terminal, which had been shipping around 1.7m b/d in recent months. These disruptions come amid a surge in Ukrainian drone attacks on Russian energy infrastructure.

The latest positioning data, which comes with a lag, unsurprisingly shows that speculators continued to add to their net long over the last reporting week. They bought 22,192 lots to leave them with a net long of 192,031 lots as of last Tuesday. This move was exclusively driven by shorts covering, rather than fresh buying entering the market.

Meanwhile, speculators also increased their long positioning in ICE gasoil, amid the growing tightness concerns facing the middle distillate market. Speculators bought 12,665 lots to leave with a net long of 84,540 lots as of last Tuesday. The drop in Russian diesel exports has been a key contributor to the tightness in the middle distillate market. And it appears likely to continue, with the Russian government suggesting that its current ban on diesel exports will end once the market recovers. Originally, the ban was set to end at the end of July. Russia has been dealing with fuel shortages due to ongoing Ukrainian attacks on Russian refinery infrastructure.

## Agriculture – Profit-taking on wheat despite supply concerns

CBOT wheat prices extended losses for a second consecutive session, settling more than 2.6% lower on Friday.

CBOT wheat prices extended losses for a second consecutive session, settling more than 2.6% lower on Friday. Prices retreated from two-year highs as investors took profits ahead of the weekend. This follows a strong rally driven by escalating Russia-Ukraine attacks on the Black Sea port infrastructure and shipping routes. Given that tensions remain heightened, prices are likely to remain relatively well-supported.

Recent data from France's Agriculture Ministry show that 65% of soft wheat is rated in good to excellent condition as of 20 July. This is in line with the previous week, but below the 69% at the same time last year. The soft-wheat harvest is near completion, with 99% of the area harvested. Among other crops, 38% of corn is rated in good to excellent condition, following a heat wave in most growing regions. This compares to 40% in the previous week and 69% for the same period last year.

The latest CFTC data shows that money managers decreased their net short position in CBOT wheat by 17,449 lots for the fourth consecutive week to 19,349 lots as of 21 July. A move driven by supply concerns in the Black Sea. Meanwhile, the net speculative long position in

CBOT soybeans rose by 52,212 lots to 124,900 lots, while the net long in CBOT corn grew by 49,518 lots to 92,909 lots.

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